Lesson 3 · Gross to take-home pay

Answers

Use the tax table extract. Read column 2 (with tax-free threshold) unless a question says otherwise. Show your working in each box.

Example Ella earned $575 (Lesson 2). Tax withheld, column 2: $36.
Net pay = $575 − $36 = $539

Q1 Jess earns $700 this week. Find the tax withheld and her net pay.

Tax withheld ($700, column 2): $65

Net pay = $700 − $65 = $635

Q2 Mia's week in Lesson 2 earned $576, which is $1 more than Ella's. Find the tax withheld and her net pay. Did the extra $1 change the tax?

Tax withheld ($576, column 2): $36

Net pay = $576 − $36 = $540

No. $575 and $576 both have $36 withheld.

Q3 Priya's normal week is $1,000. Find the tax withheld and her net pay.

Tax withheld ($1,000, column 2): $138

Net pay = $1,000 − $138 = $862

Q4 Look up $600 in both column 2 and column 3. Which column withholds more tax, and by how much?

Column 2: $42. Column 3: $120

Column 3 withholds $120 − $42 = $78 more

Putting it together Sam works weekday shifts only and earns a salary of $46,800 per year. He has claimed the tax-free threshold.

(a) What is Sam's gross weekly pay?

$46,800 ÷ 52 = $900

(b) Use the tax table to find his tax withheld and net weekly pay.

Tax withheld ($900, column 2): $106

Net pay = $900 − $106 = $794

(c) Sam's award pays 17.5% leave loading. How much is he paid in total for 4 weeks of annual leave?

4 weeks of normal pay: $900 × 4 = $3,600

Leave loading: 0.175 × $3,600 = $630

Total: $3,600 + $630 = $4,230

Extension Using 1 year = 52 weeks, how many weeks long is an average month? Use your answer to explain why “monthly pay = 4 × weekly pay” always gives too little.

52 ÷ 12 ≈ 4.33 weeks

A month is longer than 4 weeks, so 4 × weekly pay leaves out about a third of a week's pay each month.